KATHMANDU UNIVERSITY
End Semester Examination
January/February, 2025

Marks Scored:

Level : B.Tech.
Year : IV

Course : MGTS 402
Semester : I

Exam Roll No. :

Time: 30 mins.

F. M. : 10

Date : 21 FEB 2025

Registration No.:

SECTION "A"

[20 Q. × 0.5 = 10 marks]

Choose and encircle the most appropriate option from each set of choices

1. Which one of the following statement is **NOT** correct about entrepreneurs?
   a. An entrepreneur is one who manages a new business in the face of risk and uncertainty for the purpose of achieving profit and growth by identifying significant opportunities and assembling the necessary resources to capitalize on them.
   b. Entrepreneurs recognize that failure is a natural part of the creative process.
   c. Successful entrepreneurs have the attitude that failures are simply stepping-stones along the path to success, and they refuse to be paralyzed by a fear of failure.
   d. Several factors are driving the boom in entrepreneurship, including the portrayal of entrepreneurs as heroes, better entrepreneurial education, economic and demographic factors, a shift to a service economy, technological advances, more independent lifestyles, and increased international opportunities.

2. What can entrepreneurs do to integrate ethical principles into their companies?
   a. Entrepreneurs must set an impeccable ethical example at difficult times.
   b. Encourage employees to offer feedback on how to establish standards.
   c. One of the most important things entrepreneurs can do to promote ethical behavior is to instill the belief that it is unacceptable for employees to question what happens above them.
   d. Recruit and promote competent employees

3. _____ is the awareness of a company's managers of the social, environmental, political, human, and financial consequences of their actions.
   a. Social obligation
   b. Social responsiveness
   c. Social responsibility
   d. Social accountability

4. In his book "Innovation and Entrepreneurship," Peter Drucker has listed seven sources of innovation for organizations, to compete in a changing environment. Which one of the following is NOT the source of innovation according to Drucker?
   a. Unexpected occurrences
   b. Process needs
   c. Demographic changes
   d. Observing trends

5. The _____ is the collection of products and/or services the business will offer to meet the needs of the customers. It is all the things that will set the business apart from its competitors, such as pricing, quality, features, product availability, and other features.
   a. value proposition
   b. business model
   c. business prototype
   d. minimal viable product

6. Which one of the following statements is **NOT** correct about creativity?
   a. In the early imaginative phases of the process, logical thinking can restrict creativity.
   b. Because experts are so immersed in what they know, they often are victims of myopic thinking. That's why creative companies include non-experts in creative problem solving or idea generation sessions; they are free to ask questions and offer ideas that challenge the status quo and traditional solutions that experts "know" cannot work but often do.
   c. Although ambiguity is not a desired element when entrepreneurs are evaluating and implementing ideas, it is a valuable tool when they are searching for creative ideas and solutions.
   d. Creativity is the ability to apply innovative solutions to the problems and opportunities to enhance or to enrich people's lives.

7. Which one of the following statements is **CORRECT**?
   a. Brainstorming is a process in which a small group of people interact with very little structure with the goal of producing a large quantity of novel and imaginative ideas.
   b. Mind mapping is a graphical technique that encourages thinking on right side of the brain, visually displays the various relationships among ideas, and improves the ability to view a problem from many sides.
   c. Rapid prototyping is based on the premise that transforming an idea into a simulated model will point out flaws in the original idea and will lead to improvements in its design.
   d. Unlike brainstorming and mind mapping, which are left-brain activities, TRIZ is a right-brain, scientific, step-by-step process that is based on the study of hundreds of the most innovative patents across the globe.

8. A _____ is a form of intellectual property protection that grants to the owner of a work of authorship the legal right to determine how the work is used and to obtain the economic benefits from the work.
   a. copyright b. trademark c. patent d. tradesecrets

9. Which one of the following statement is **CORRECT** about focus strategy?
   a. A focus strategy depends on creating value for customers by being the lowest cost producer and by differentiating the product or service in a unique fashion but doing it in a narrow target segment.
   b. The small companies focus on a narrow segment of the overall market and set themselves apart either by becoming cost leaders in the segment or by differentiating themselves from competitors.
   c. A company following a focus strategy seeks to build customer loyalty by selling goods or services that provide unique attributes and that customers perceive to be superior to competing products.
   d. The key to a successful focus strategy is to build it on a core competency something a small company is uniquely good at doing in comparison to its competitors.

10. _____ is the vehicle for gathering the information that serves as the foundation for the marketing plan.
   a. Idea assessment b. Feasibility analysis
   c. Bootstrapping d. Market research

11. Which one of the following is NOT one of the force in Five Forces model to assess the competitive environment as suggested by Michael Porter?
   a. Bargaining power of suppliers
   b. Bargaining power of new entrants
   c. Bargaining power of customers
   d. Threats of substitute products of services

12. Which one of the following statements is CORRECT about feasibility analysis?
   a. When examining an industry, an entrepreneur should examine both the macro environment that can have an impact across many industries and the specific competitive environment of the industry of interest.
   b. The primary research includes customer surveys and questionnaires, focus groups, prototypes and in-home trials, "windshield" research, and demographic and census data.
   c. The strongest of the five forces in five forces model is "the rivalry among substitute products and services."
   d. By performing an entrepreneurial self-assessment an entrepreneur can evaluate his/her entrepreneurial readiness. If there is more than one entrepreneur starting the business, it is suggested that at least one of them should complete an assessment and use this as a launching point to examine their collective entrepreneurial feasibility.

13. To launch a business using the lean start-up process, entrepreneurs begin with what is called a _____, which is the simplest version of a product or service with which an entrepreneur can create a sustainable business.
   a. Minimal viable prototype
   b. Minimal viable product
   c. Minimum marketable release
   d. Minimum marketable product

14. The goal of developing a _____ is to create for the small company a _____ - the value proposition that sets a small business apart from its competitors and gives it a unique position in the market that is superior to its rivals.
   a. strategic plan; core competencies
   b. business plan; competitive advantage
   c. business plan; core competencies
   d. strategic plan; competitive advantage

15. In the _____, sales volume continues to rise, but profit margins peak and then begin to fall as competitors enter the market.
   a. Growth and acceptance stage
   b. Maturity and competition stage
   c. Market saturation stage
   d. Product decline stage

16. A market penetration pricing strategy is most appropriate to use when:
   a. the company can clearly differentiate its products from competitors
   b. the entrepreneur is trying to convey his product to superior to competitors' offering.
   c. it is difficult to differentiate your new product from other similar offerings in the marketplace
   d. the product is revolutionary and there is little competition

17. A balance sheet is built on which of the following equation?
   a. Assets = Liabilities – Owner's equity
   b. Assets = Liabilities + Owner's equity
   c. Assets = Liabilities ÷ Owner's equity
   d. Assets = Liabilities × Owner's equity

18. The statement of cash flows is divided into three activities:
   a. operating activities, investing activities, and financing activities
   b. operating activities, financing activities, and administrative activities
   c. operating activities, administrative activities, and investing activities
   d. operating activities, sales and marketing activities, and administrative activities.

19. _____ is finding ways to avoid the need for external financing or funding through creativity, ingenuity, thriftiness, cost-cutting, or any means necessary.
   a. Crowdfunding
   b. Bootstrapping
   c. Layered financing
   d. Seed funding

20. Why might it be beneficial for an entrepreneur to locate her business near a competitor?
   a. It would allow for increased profitability through reduced transportation costs for distributors.
   b. It would not be beneficial for an entrepreneur to locate her business near a competitor.
   c. The offerings of both businesses may attract more customers to the vicinity.
   d. It could help the entrepreneur improve her image by being associated with the competitor.

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SECTION "B"
[6 Q. × 4 = 24 marks]

Attempt ANY SIX questions.

1. Explain how "solving a problem" can create a business opportunity. Provide an example that was created in this way.

2. Identify an idea for a new business for an industry you would like to work within. How would you conduct market research on your idea using both primary and secondary methods of research?

3. How can entrepreneurial firms benefit by developing and using a business model? Explain

4. What do you understand by minimal viable product? Explain with an example how an entrepreneur could use this concept.

5. Suppose that you are considering launching a used-book store (or some other type of business you choose). Describe how you can build a competitive edge in the marketplace using guerrilla marketing strategies for her business.

6. What is the difference between cash and profit? Explain the importance of cash management for a small business.

7. List three sources of personal financing available to entrepreneurs. Provide several examples of how entrepreneurs bootstrap to raise money or cut costs.

SECTION "C"
[2 Q. × 8 = 16 marks]

Attempt ANY TWO questions.

8. Identify an entrepreneur who you admire and/or have an opportunity to interact with. Provide a brief profile about this individual and a business venture he/she founded. Discuss several major characteristics that he/she exhibits that qualifies him/her as a successful entrepreneur.

9. A competitive profile matrix allows owners to evaluate their firms against the major competitors using the key success factors for that market segment. Develop a competitive profile matrix for a burger stand that you would want to establish around your university premises. Describe how you would prepare financial forecasts for this venture.

10. Explain how a small business can gain a competitive advantage using each of the following strategies: cost leadership, differentiation, and focus. Provide examples for each.